

Seniors United Now

The Voice of Seniors in Alberta

January 08, 2025

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Mr. W. Doug Wylie FCPA, FCMA, ICD.D
Auditor General of Alberta

Subject: Alberta Public Sector Pension Plans Coordinated Pension Option

Alberta Seniors United Now (SUN) is a non-profit, non-partisan organization established in 2003 to enable all seniors in Alberta to contribute and truly participate in the well being of the Province of Alberta.

On behalf of our SUN Board of Directors, we are pleased to see on your website that you offer the opportunity to suggest an audit for your office to investigate. Your website also states that your mandate is to “monitor and evaluate the performances and sustainability of a number of public service pension plans” which includes the Local Authorities Pension Plan (LAPP) and the Public Service Pension Plan (PSPP).

During Premier Klein’s public employee layoffs, the Coordinated Pension option was implemented to assist retiree’s with increasing their pension between the age of 55 to 65. At age 65 the retiree had their pension reduced to pay back the amount that they received. It was explained to the retirees that it was just like paying back a loan and at age 72 the full payment will be made. However, it was not fully explained to some of them that if they live beyond age 72, deductions will be taken from their pension cheques until the day they die.

We have received feedback from many pensioners that this plan was not properly communicated to them and some have paid back, in some instances over \$150,000 above the original amount that they received.

In a letter dated Oct, 2019, written by Phil Rivard, Vice President, Pension Policy and Funding LAPP Corporation he states “Given the number of individuals who have expressed difficulties understanding the impacts of Coordination, we are likely to recommend to the Board to eliminate the Coordination feature of LAPP members who have yet to retire”. His comments also indicates that the roll out of the program had some deficient components. Also the retirees’ employers may not have explained the program properly, which lead to the misunderstanding of the payback program.

It is interesting to note that some time ago, on the LAPP website they explain why they have discontinued the Coordinated Option (2021). They do state “following several years of complaints from members who may not have understood the implications properly, led to their decision”. Sheri Wright, Vice-President of stakeholder relations and communication at LAPP says the “while confusion is the #1 concern expressed by members”, she suspects there are many more who regret their decision yet remain silent.

When this coordinated program was implemented, through correspondence, Hon. Ron Liepert indicated that the program was to be cost neutral. We are requesting if your office can indeed indicate if this is true. Our concern is pensioners who are still having their pensions reduced, even though they have paid over and above the amount that they owed have contributed far more than the pension plan lost as a result of pensioners dying before their loan was ever recovered. If this is case then this program was certainly not cost neutral but we have been unable to acquire this information.

We are hopeful that you are able to audit this situation and we look forward to your response.

Sincerely,

Wayne Sorenson

Wayne Sorenson - President, Seniors United Now

